

# Air Fryer Market: Demand, Costs & Strategy

Analyzing the top 10 brands on Amazon · 2019–2023

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Market analysis

Logit demand model

Markup estimation

Competitive positioning

## ANALYSTS

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# The Air Fryer Market: 2019–2023 Overview

## MARKET CONTEXT

A comprehensive analysis of the top 10 air fryer brands on Amazon, highlighting significant market shifts, pricing trends, and consumer sentiment from 2019 to 2023.

Ninja · Instant Pot · GoWise USA · Dash · Chefman · Ultrean · Cuisinart · NuWave · Cosori · Oster

## MARKET DYNAMICS

- GoWise USA held the largest share in 2019 (~29%) but declined sharply by 2023
- Instant Pot surged from near zero in 2019 to lead the market by 2022
- Ninja maintained consistently strong share (~19–22%) throughout

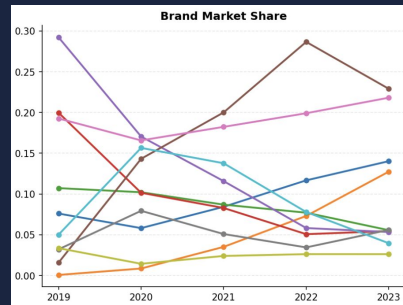
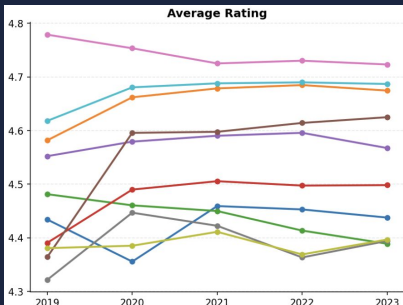
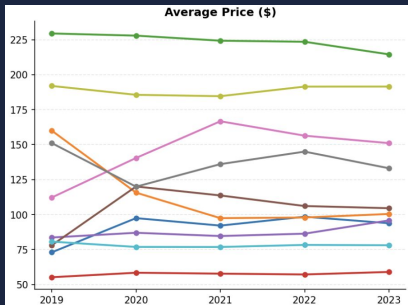
## PRICING STRATEGY

- Cuisinart (~\$220) and Oster (~\$190) occupy the premium tier
- Dash holds steady as the budget option (~\$60)
- Cosori dropped from ~\$160 to ~\$100, executing a notable value play

## CONSUMER SENTIMENT

- Ratings compressed across all brands (4.39–4.75 stars), indicating uniformly high perceived quality
- Ninja leads with consistently high share (~19–22%) and the top consumer rating (~4.72 stars)

## Air Fryer Market: Trends by Brand (2019–2023)



# The Air Fryer Market: Demand Estimation

## EXPLANATION OF THE DEMAND MODEL

- Utilized a multinomial logistic demand model using linear regression on log market share
- This model looks at various variables such as brand, year, average price, average rating, and different product features
- This isolates how each factor affects a brand's share of the air fryer market

$$\log(s_{bt}) = \alpha_0 + \alpha_t + \gamma_b + \beta_{price}p_{bt} + \beta_{rating}r_{bt} + \sum_{\ell=1}^L \beta_{\ell}x_{bt\ell} + \epsilon_{bt}.$$

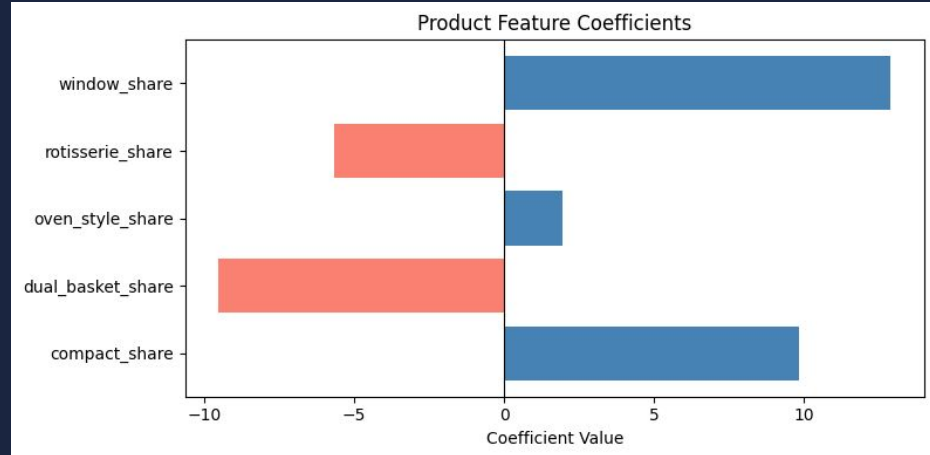
- $b$  indexes brands
- $t$  indexes years
- $s_{bt}$  is brand\_share
- $p_{bt}$  is avg\_price
- $r_{bt}$  is avg\_rating
- $x_{bt\ell}$  are the product characteristics
- $\alpha_t$  are year dummy coefficients
- $\gamma_b$  are brand dummy coefficients
- $\beta_{price}$  is **one constant price coefficient**, shared by all brands and all years

## ESTIMATED PRICE COEFFICIENT & INTERPRETATION

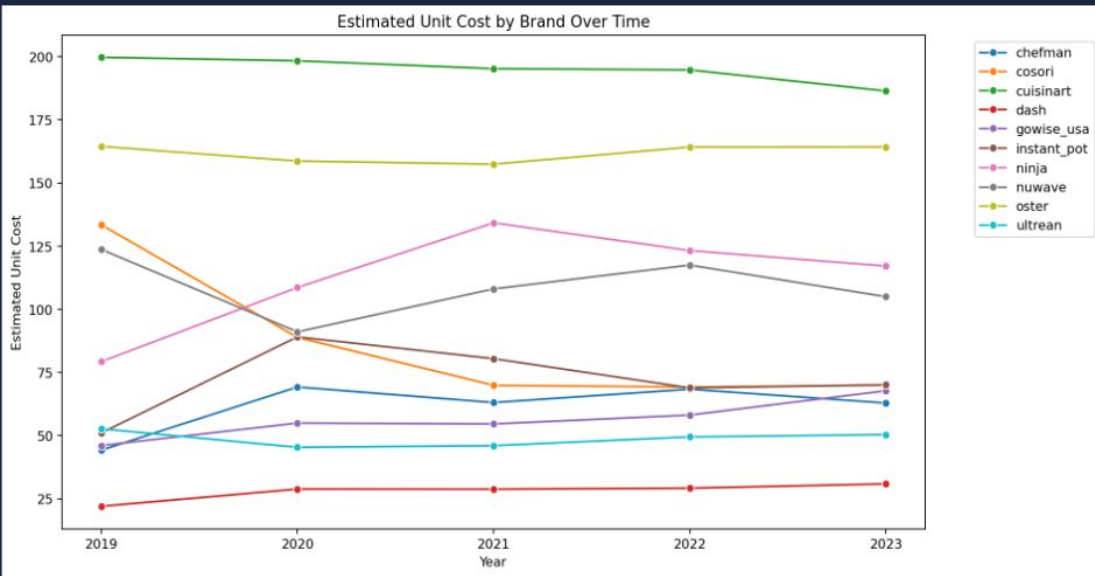
- The estimated price coefficient is -0.0377
- The negative sign indicates that it follows the law of demand, showcasing as a brand's price increases, its market share decreases

## MOST IMPORTANT PRODUCT FEATURES

- window\_share and compact\_share designs have the strongest positive effect on demand with coefficients of 12.88 & 9.82 respectively
- oven\_style\_share also positively affects demand although significantly less than the window\_share and compact\_share designs
- dual\_basket\_share & rotisserie\_share features are associated with lower brand share which ultimately indicates that the market prefers simpler, more compact designs overall



# The Air Fryer Market: Estimated Unit Costs



## COST TIERS

- Cuisinart highest at \$194.90, Oster second at \$161.81
- Mid-tier: Ninja (\$112), Nuwave (\$109), Cosori (\$86)
- Budget tier: Dash (\$28), Ultrean (\$49), GoWise USA (\$56)

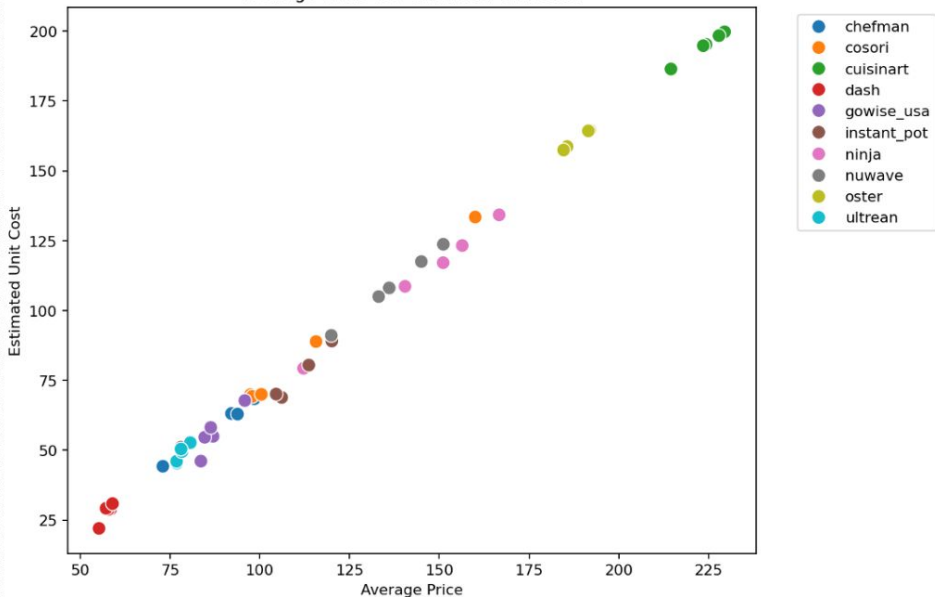
## TRENDS

- **Cuisinart** and **Oster** stay consistently high-cost across all years
- Ninja's cost rose sharply 2019 to 2021, then settled
- Cosori dropped sharply 2019 to 2020 and stayed low
- Dash remains the lowest-cost brand throughout

# The Air Fryer Market:

## Price, Quality & Cost

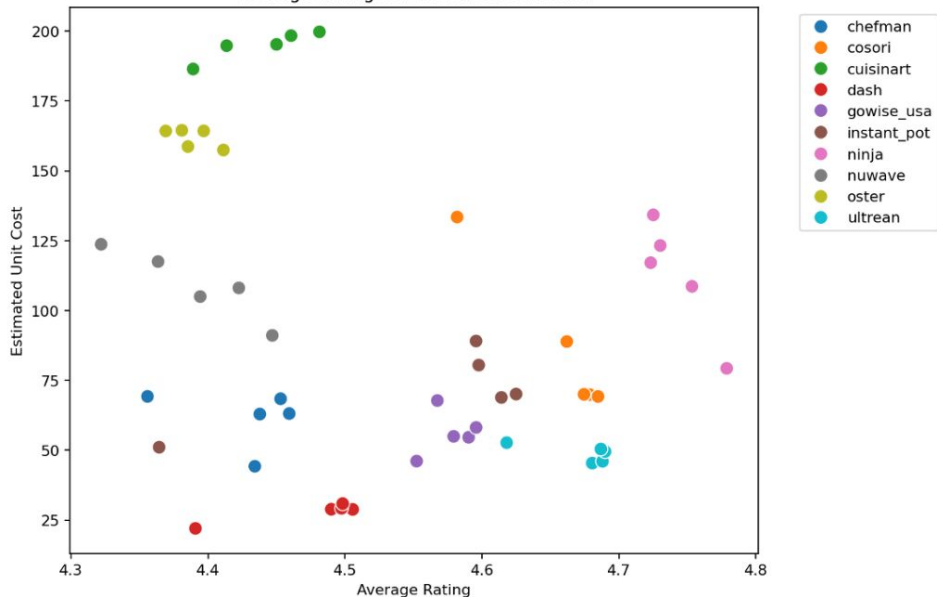
Average Price vs. Estimated Unit Cost



### PRICE TRACKS COST ALMOST PERFECTLY ( $r = 0.999$ )

- Unit cost = price – markup, and markups are nearly flat across brands
- So expensive brands have expensive costs, not premium margins

Average Rating vs. Estimated Unit Cost

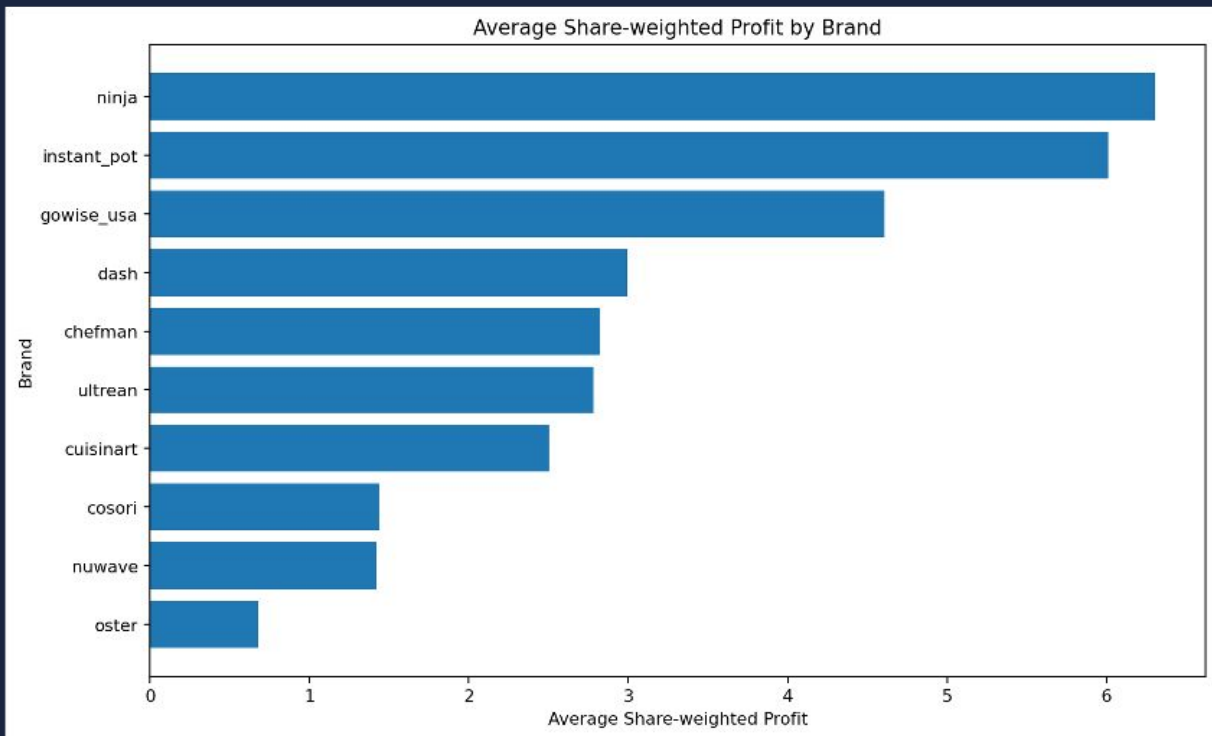


### RATINGS DO NOT TRACK COST ( $r = -0.31$ )

- Cuisinart and Oster spend the most per unit but earn average ratings
- More expensive air fryers are not better-loved by consumers

# The Air Fryer Market:

## Who Captures the Profit?



### PROFIT LEADERS

- Ninja leads (\$6.31): largest share (19.2%) × highest markup (\$32.85)
- Instant Pot close second (\$6.01): 17.5% share, \$32.56 markup
- GoWise USA third (\$4.61): mid-tier price but strong share

### PRICE ALONE DOES NOT WIN

- Cuisinart and Oster have the highest prices but the smallest shares (8.6%, 2.5%)
- Their share-weighted profit lands at just \$2.50 and \$0.68
- Markups cluster \$27–\$33 across all brand-years; share is the real differentiator

# The Air Fryer Market:

## Conclusions

### WHAT WE LEARNED

- Market reshuffled 2019 to 2023: Ninja and Instant Pot displaced GoWise USA and Dash
- Logit demand model fits well ( $R^2 = 0.76$ ,  $\beta_{\text{price}} = -0.038$ )
- All 50 inferred unit costs are positive; the model is consistent

### WHAT DRIVES PROFIT

- Markups nearly flat (\$27–\$33); share, not price, drives profit
- Compact and viewing-window features have the strongest demand pull
- Price and rating are weakly negatively correlated ( $r = -0.29$ ). Premium  $\neq$  Better

### STRATEGIC TAKEAWAY

- Compete on a popular feature mix at a mid-tier price, not a premium sticker
- Brand-share positioning is a more credible profit lever than price hikes
- Ninja & Instant Pot are the brands to benchmark against

### All in all,

Within a market where every brand earns roughly the same per-unit margin, the brands that win are the ones that combine a popular product mix with a mid-tier price and high consumer ratings. Premium pricing alone does not pay.